Because homeownership also comes with ongoing financial commitments like property taxes, maintenance, etc., these obligations can impact your cash flow and ability to service other debts. To keep your debt manageable and create a buffer for unexpected expenses or income fluctuations, it's advisable to ensure that your total debt-to-income ratio remains below 40%

So, how do I interpret the ratio then?

80% - 100% (High)

Indicates a significant debt burden and a high risk of financial stress. This means that most of your assets will be allocated to repay your debts. It's essential to focus on aggressively reducing debt and creating a financial cushion to manage unexpected expenses

40%-80% (Moderate)

Indicate increasing reliance on debt & potentially vulnerable to financial shocks. You should prioritise debt reduction before taking on more loans.

20%-40% (Healthy)

Indicates a comfortable financial positioning with manageable debt. This means there is room for both repayment & potential investments.

Below 20% (LOW)

It indicates that you have more assets than liabilities, indicating financial stability.

Now, let's take an example to understand the ratio better.